

Amendment No. 1 to HB2162

Kumar
Signature of Sponsor

AMEND Senate Bill No. 2554

House Bill No. 2162*

by deleting all language after the enacting clause and substituting:

SECTION 1. This act is known and may be cited as the "Patients' Right to Know Act."

SECTION 2. Tennessee Code Annotated, Title 56, Chapter 7, Part 10, is amended by adding the following as a new section:

56-7-1022.

(a) As used in this section:

(1) "Commissioner" means the commissioner of commerce and insurance;

(2) "Customer service metrics":

(A) Means operational performance data prescribed by rule of the department, intended to measure a health carrier's accessibility, responsiveness, reliability, and quality of service to enrollees and providers; and

(B) Includes call center response times and abandonment rates; appeal resolution times; grievance and complaint volumes; prior authorizations approvals, denials, and denial reversal rates; metrics relating to the availability and accessibility of customer service channels; and timeliness, consistency, and accuracy of responses to general inquiries;

(3) "Department" means the department of commerce and insurance;

(4) "Health insurance coverage" has the same meaning as defined in § 56-7-109;

(5) "Health insurance entity" has the same meaning as defined in § 56-7-109; and

(6) "Partially paid" means a claim submitted under an insurance policy for which the health insurance entity makes or issues payment for one (1) or more items or services and denies payment, in whole or in part, for one (1) or more items or services.

(b) Each health insurance entity that issues a policy or contract of health insurance coverage in this state shall submit quarterly reports within sixty (60) days of the end of each calendar quarter to the department, in the format and manner that the commissioner may prescribe by rule.

(c) Reports required by subsection (b) must include the following data, categorized by hospital inpatient, hospital outpatient, emergency department, observation, and physician claims:

(1) Number of prior authorization requests received, approved, or denied;

(2) Average and median time to prior authorization determinations;

(3) Number of claims submitted, paid, partially paid, denied, or pending;

(4) Claims denials categorized by standardized denial reason codes, specifically utilizing ANSI 835 Claim Adjustment Reason Codes (CARC) and Remittance Advice Remark Codes (RARC);

(5) Number of claim and prior authorization appeals received, resolved, upheld, or overturned;

(6) Average and median appeal resolution timeframes for claims and prior authorizations;

(7) Recoupment metrics, including the number and value of recoupments initiated and completed, categorized by reason; and

(8) Customer service metrics.

(d) The department of commerce and insurance shall promulgate rules to:

(1) Define required reporting elements and standard formats;

(2) Establish submission deadlines and validation processes;

(3) Protect protected health information as defined in 45 CFR §160.103, and confidential or proprietary information of the disclosing health insurance entity; and

(4) Enforce compliance, including corrective action plans and administrative penalties.

(e) As applied to a health insurance entity administering a health plan for the TennCare program or a successor program provided for in title 71, chapter 5, or the CoverKids program or a successor program provided for in title 71, chapter 3, part 11, this section only requires submission of data that is also required by federal regulations governing medicaid managed care plan performance.

(f) A health insurance entity that fails to submit a report required under this section by the applicable deadline or that submits an incomplete report may be subject to penalties as set forth in § 56-2-305.

(g)

(1) The department shall receive, store, and publicly host all health insurance entity data submitted under this part on its publicly accessible website without any confidential, proprietary, or patient identifying information publicly posted.

(2)

(A) Health insurance entities shall begin reporting no later than September 30, 2027. Initial reports must include data for the quarters ending March 31, 2027, and June 30, 2027. Thereafter, health insurance entities must report data quarterly.

(B) The department shall post, on a publicly accessible webpage, the information submitted under this section that:

(i) Displays aggregate and health insurance entity specific details for each metric reported;

(ii) Allows comparison among health insurance entities;

(iii) Is updated within thirty (30) days of data reported by the health insurance entities; and

(iv) Excludes protected health information and proprietary trade secrets.

(h) This section does not require a health insurance entity to report claims subject to the federal Employee Retirement Income Security Act of 1974 (ERISA) (29 U.S.C. § 1001 et seq.).

SECTION 3. Tennessee Code Annotated, Title 56, Chapter 7, Part 10, is amended by adding the following as a new section:

56-7-1023.

(a) As used in this section, "healthcare provider" has the same meaning as defined in § 56-7-3301.

(b) A health insurance entity shall not reduce, withhold, or otherwise adjust payments contracted for a healthcare provider solely because a covered individual received care from a non-contracted healthcare provider.

(c) A health insurance entity shall not use the utilization of a non-contracted healthcare provider as the sole basis to retroactively reduce payments, retroactively impose penalties, or retroactively alter contract terms for the contracted healthcare provider.

SECTION 4. The commissioner of commerce and insurance shall, upon this law taking effect, immediately begin the necessary rulemaking procedures to ensure that any rules necessary to implement this act are implemented no later than six (6) months after the effective

date of this act. All rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 5. Sections 3 and 4 take effect upon becoming a law, the public welfare requiring it. For the purpose of promulgating rules, the remainder of this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, the remainder of this act takes effect July 1, 2026, the public welfare requiring it.